HEDGEYE DAILY DIGEST

Monday, September 7, 2026 (GMT+8)

*Hedgeye does not publish on weekends, so this Monday edition covers **Friday, September 4** as "Today" and **Thursday, September 3** as "Yesterday" (EDT; grouped GMT+8). The week resolved in one direction: **inflation is re-accelerating and the Quad model moved with it**. Hedgeye's Inflation Nowcast ticked higher for both **September** and **October**, flipping September from **#Quad1** to a likely **#Quad2** and setting up **back-to-back Monthly Quad 2s**. The tape is already trading it — the **High Beta Momentum** factor is **down 77% from its June peak** while **Long AI Software vs. Short Semis is +17.9% over the past month**.*

TODAY'S PUBLICATIONS — Friday, September 4, 2026

EARLY LOOK - "#Quad2 Then #Quad2?"

Keith McCullough | Early Look | 09/04/26 07:40 AM EDT (19:40 GMT+8)

McCullough opened with **Ron Friedman's** *Super Teams* and its three essentials of a real team - a shared goal, role clarity, and interdependence - as a framing device for how Hedgeye's process actually produces a call. His point: no single analyst can deliver a Macro-aware conclusion without knowing (a) what Quad the economy was in and (b) what Quad the market is signalling next. The models are re-run nightly by the quant team so the Signals can be read against them each morning.

The substantive news was the model update itself: **Hedgeye's Inflation Nowcast ticked higher for both September and October**, raising the probability of **back-to-back Monthly #Quad2s** rather than a **#Quad1** September followed by a **#Quad2** October. With **December** and **January** already sitting in **Quad 2**, that is four Quad 2 months out of five.

The Machine's Quad 2 playbook: bond yields continue to TREND higher irrespective of short-term policy noise; rate-sensitive sectors underperform (Hedgeye is **short Utilities, XLU**, and **U.S. Housing, ITB**, continues to lag); **LARGE cap** begins beating **SMALL cap** - the reverse of the Quad 1 relationship; **LOW beta** loses to **HIGH beta**; **VALUE** loses to **SECULAR GROWTH**; and **DEFENSIVES** lose to **CYCLICAL INFLATION**.

The factor evidence is already in the tape. **High Beta Momentum** - defined as long semis / short software - has **crashed 77% from its June #MOAB highs**, while **Long AI Software vs. Short Semis (SMH)** was **+5.1%** on Thursday and **+17.9% over the trailing month**.

Investment implication: position for higher yields and a growth-plus-inflation regime. Stay short the rate-sensitive complex, own secular growth and cyclical inflation, and treat the software-over-semis spread as the highest-conviction factor trade on the sheet.

Risk Range™ Signals — September 4, 2026

Asset	Risk Range	TREND
10-Year U.S. Treasury Yield (UST10Y)	4.63 - 4.84	Bullish
High Yield (HYG)	79.00 - 79.55	Bullish
Investment Grade Corporate Bonds (LQD)	104.9 - 106.3	Bearish
S&P 500 (SPX)	7632 - 7781	Bullish
NASDAQ Composite (COMPQ)	26001 - 26798	Bullish

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Asset	Risk Range	TREND
Russell 2000 (RUT)	2917 - 3013	Bullish
Health Care (XLV)	169 - 177	Bullish
Expanded Tech-Software (IGV)	102 - 113	Bullish
Oil Services (OIH)	411 - 440	Bullish
Volatility Index (VIX)	13.75 - 16.33	Bearish
U.S. Dollar Index (USD)	98.51 - 99.67	Bearish
WTI Crude Oil (WTIC)	84.74 - 94.63	Bullish
Natural Gas (NATGAS)	2.82 - 3.05	Bullish
Gold Spot (GOLD)	4296 - 4691	Bullish
Copper Spot (COPPER)	6.40 - 6.71	Bullish
Silver Spot (SILVER)	63 - 69	Neutral

THE MACRO SHOW - Summary Notes & Replay

Keith McCullough & Daryl Jones | The Macro Show | 09/04/26 11:48 AM EDT (23:48 GMT+8)

The jobs print landed hawkish. Daryl put **payrolls at 162K versus 55K expected -** well above the prior month's weak reading. McCullough's read was that the market immediately looked through the number toward **next week's CPI**, which he expects bond managers to front-run. The rate conclusion was mechanical: better jobs plus a hotter CPI equals higher yields. The **July Quad 4 labour weakness has now reversed**, and September's profile is turning inflationary.

On the Quad shift: the **CPI Nowcast rose to 3.55%**, up roughly **5-6 basis points** on the week, helped by oil returning to **three-month highs**. The initial September **Quad 1** setup is now more likely **Quad 2**, with October also **Quad 2 -** the possibility of **four Quad 2 months in five**. Quad 2 is the quad where bond yields rise the most; it is also, short-term, **negative for gold**, even as McCullough remains structurally bullish. Positioning stayed short the rate complex **- TLT is the biggest short**, alongside **XLU**, **ZROZ** and **LQD**.

Dollar, gold and Bitcoin: the **USD travelled from the top of its range to the low end in a single day**, lifting gold and Bitcoin off the bottom of their ranges. McCullough **sold gold aggressively** into that move - one of his more aggressive one-day sales in any asset class over the past year - having bought it aggressively on the prior pullback. **Bitcoin** was bought earlier in the week near the low end of its range; he would like another correction before adding.

Factors - software over semis remains the biggest trade. He called the high beta momentum unwind the "most epic explosion and crash" in factor exposure ever. Hedgeye was **long DRAM and semis in May and June, exited, and now carries zero semiconductor exposure**. The book is **long software, effectively net short semis**. **Snowflake (SNOW)** was bought as a signal-strength name on **May 26** and is **up 106.4% since the initial signal**; he added more software into the print and "grossed it up."

Flows and gamma: Tier1 Alpha estimated roughly **$14 billion** of expected flow buying hit on Thursday, helping lift the tape intraday. He was careful to note that **positive gamma is not automatically bullish** - it means dealers sell strength and buy weakness. With limited room to the top of the risk range, there were "many reasons to sell yesterday and get paid."

Mega-cap tech: Microsoft and **Nvidia** led the market-impact table. **Meta** flipped to bullish TRADE - barely - while **Google** bounced without going bullish TREND. His explanation for the **Tesla / Meta / Google** flips was beta and flows, not news: when SPY returned to bullish TRADE/TREND and Tier1 Alpha projected large buying, the heaviest index weights absorbed the most flow. "The water got turned on."

Global: China remains bearish TRADE and TREND despite a Quad path that could eventually improve - the signal says stay away. **South Korea / KOSPI** bounced but failed to reclaim TRADE and sits near the top of the incremental-short list. On the long side, **New Zealand (ENZL)** and **South Africa (EZA)** were both **up roughly 80-90bps overnight**; South Africa is levered to mining and gold with a Quad path supportive of hard assets.

Position changes: Turkey (TUR) sold in full - it attempted a move from bearish to bullish TREND and failed within two days, so it was stopped out. **NOBL sold in full.** Both framed as stop-loss discipline rather than a Quad debate.

Commodities: oil is ripping, making higher lows and higher highs, keeping inflation pressure alive. He would buy dips in **copper miners (ICOP)** and would view corrections in **wheat** and **cocoa** as buying opportunities. **All currency positions were cut to minimum**, including **euro** and **Canadian dollar** exposure.

MOMO TRACKER

Christian Drake & Ryan Ricci | Momentum Stock Tracker | 09/04/26 08:04 AM EDT (20:04 GMT+8)

Headline signals: **Mag7 +2.4%**, **SNOW +16.6%**, and **SNOW / TSLA / META all flipping to BULLISH**. The theme carried through the day's research was **Software vs. Semis -** the same factor spread McCullough called the biggest trade on the book. The published note is a chart-and-data dashboard rather than narrative text, so detail beyond the headline signals sits in the visual dashboard.

SIGNAL STRENGTH STOCKS - 62 Stocks (4 Added, 8 Removed)

Signal Strength Stocks | 09/04/26 11:32 AM EDT (23:32 GMT+8)

The list contracted meaningfully, from **66 names to 62**.

Added: PBR, AR, WFC, RRC - three of the four are **energy** (Petrobras, Antero Resources, Range Resources), consistent with oil at three-month highs and the cyclical-inflation tilt; **WFC** adds financials exposure.

Removed: TRU, AMZN, EFX, EXPGY, MCO, PM, ETSY, CXXIF - a notably defensive and data-services cull, including four credit-and-information names (**TRU, EFX, EXPGY, MCO**), staples (**PM**), and two consumer internet names (**AMZN, ETSY**).

Takeaway: the breadth of the signal list narrowed for a fourth consecutive session (**79** → **72** → **69** → **66** → **62**), corroborating the "narrowing, not broadening" sector call.

CAPITAL ALLOCATION PRO - Daily Dashboard | Model Portfolios

Robert McGroarty, Andrew Nanai, David Salem | Capital Allocation Pro | 09/04/26 09:15 AM EDT (21:15 GMT+8)

No new model portfolio changes were announced Friday. The most recent changes went into effect on **closing prices Wednesday, September 2nd**, and the **September 2026 Monthly Commentary** was posted the same day.

Two housekeeping items of substance: **TREND and TAIL levels for all 68 ETFs were refreshed using closing prices of Friday, August 28th**, on the standard 3-4 week cycle. And a **ticker substitution** - **BNO** (Brent) and **USO** (WTI) added to coverage; **MBB** (mortgage-backed) and **PFF** (preferred) removed. Adding two crude oil trackers while dropping two rate-sensitive income products is itself a quiet expression of the Quad 2 tilt.

FROM THE DESK - Macro Week Summary Notes

From The Desk | 09/04/26 04:50 PM EDT (09/05 04:50 AM GMT+8)

The weekly wrap-up was published Friday afternoon covering the **Macro Dashboard**, **Weekly Macro Commentary**, **VIX Gauge**, **U.S. Monthly Quad Forecast** and **Chart of the Week**. The full edition sits behind a separate access link and was not retrievable in this run; the **U.S. Monthly Quad Forecast** section is the one to read given Friday's Quad 2 upgrade.

Also not retrieved: **NFP | Mad Technology** (Macro, 09/04/26 01:10 PM EDT) is outside the current subscription tier and returned an access-restricted page. It is Hedgeye's payrolls reaction note; summarised here from title only.

YESTERDAY'S PUBLICATIONS — Thursday, September 3, 2026

EARLY LOOK - "Riding The Waves of Volatility"

Daryl Jones, Director of Research | Early Look | 09/03/26 07:51 AM EDT

What: Jones's Early Look on volatility as an unavoidable feature of markets, opening on **Jon Kabat-Zinn** - you cannot stop the waves, but you can learn to surf - and using Hedgeye's newly launched **small-cap research product** as the live illustration.

Why: The edge is not in avoiding volatility but in sizing risk correctly and separating signal from noise. The worked example: **MNTN** closed **$13.15** Monday, fell to **$12.39** Tuesday (**-5.8%**), then rallied to **$13.13** (**+5.97%**) - a roughly **6% round trip in three sessions** on no fundamental news. Hedgeye's work puts **MNTN** and **FIVN** at realised volatility of **4.95x** and **5.35x** the S&P 500 over the trailing 90 days.

Who: Daryl Jones; small-cap names **MNTN** and **FIVN**; the Fed as the audience for the conflicting data.

Key numbers: Chicago PMI collapsed to 47.1 in August from 57.6 in July - a **10-point** swing from solid expansion into outright contraction. **JOLTS job openings jumped to ~7.74 million from 6.95 million**, a gain of nearly **790,000**. The **10-year yield sat at 4.76%**, just under the **4.84%** top of the risk range. **VIX fell nearly 7.0% to 15.20** - the "investable bucket."

Takeaway: the economy is sending genuinely mixed signals - manufacturing soft, hiring resilient, rates sticky, volatility quiet. Elevated yields sitting beside a becalmed VIX is a **fragile pairing**; it does not take much to send volatility higher in a hurry. Friday's hawkish **162K** payrolls print then resolved the ambiguity toward the inflationary side.

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FROM THE DESK - KM's Top 3 Things (10yr / Sectors / Flows)

Keith McCullough | From The Desk | 09/03/26 07:20 AM EDT

What: McCullough's three-point pre-market note on the 10-year, sector narrowing, and flows.

Why: The **dollar came straight back down** from the top of its risk range, sending **gold straight back up** - and Hedgeye **bought Bitcoin on sale**. The **10-year** remained bullish on both **TRADE** and **TREND**, which is why the short book in **TLT, LQD, ZROZ and XLU** stayed on. The 10-year probed the **top end of the Risk Range** and backed off - precisely what the range is for.

Who: Keith McCullough; **Tier1 Alpha's "Captain Craig"** on the flow data; **SNOW** as the software catalyst.

Key numbers: 10-year risk range 4.68% - 4.84% - a dovish jobs print pulling toward **4.68%** would rip **gold, GDX and IBIT** higher; hawkish does the reverse. **Health Care (XLV) +1.4% for September to date. Metals led the tape +3.3%**; the **Most Short Financials basket +2.9%**. **Tier1 Alpha modelled as much as $17 billion of SPX vol-control buying** as the **-2.6% June 5th return** rolled out of the three-month realised volatility calculation, with one-month realised vol having collapsed below three-month. **SPX risk range 7602 - 7744.**

Takeaway: the U.S. equity signal is **no longer broadening - it is narrowing**. Stop owning breadth and concentrate into the sectors and factors still working, principally **Health Care** and **Energy**. He was **buying more Software (IGV) on sale** into the **SNOW** print (long since **May 26**). Flows were the day's dominant non-discretionary bid.

THE MACRO SHOW - Summary Notes & Replay

Keith McCullough & Daryl Jones | The Macro Show | 09/03/26 10:57 AM EDT

What: The Thursday show, built around rates, the sector narrowing thesis, and the vol-control flow wave.

Why: With the 10-year bullish TRADE and TREND, the discipline is to **cover shorts near the top of the range and reload near the low end**. CPI risk after the jobs report was flagged as **hawkish**.

Who: Nvidia (held TREND, went bullish TRADE intraday, with **over 535,000 of the 225 calls** traded); **Meta** bullish TRADE but still bearish TREND; **Google** and **Tesla** bearish TREND; **Spain (EWP)** working on a higher low; **Turkey (TUR)** added and described as "for sale"; **South Africa (EZA)** long on mining and gold exposure with back-to-back **Quad 3s**; **Japan**, **China** and **South Korea** all bearish.

Key numbers: 10-year range 4.68% - 4.84%; **$17 billion** potential SPX vol-control buying; **XLV +1.4%** September to date; **most-shorted financials basket +2.9%**; **nine of 11 sectors** higher on the session; oil alpha codes discussed around **86 / 84**.

Takeaway: stop treating themes as permanent. Stay short rate-sensitive assets, take gains in gold around event risk, **narrow into health care, software, energy and financials**, use flows as a primary timing input, and short broken Asia and mega-cap names on bounces. Health Care is now owned **"three ways"** after biotech was added on the correction.

MOMO TRACKER

Christian Drake & Ryan Ricci | Momentum Stock Tracker | 09/03/26 08:52 AM EDT

What: Daily momentum dashboard. **Key numbers: Mag7 +0.76%**; **SNDK flipped to BULLISH**.

Takeaway: the two themes flagged in the title - **Sectors (Narrowing)** and **Flows (Vol Control Wave)** - mirror McCullough's Top 3 exactly. Published as a chart dashboard rather than narrative text.

SIGNAL STRENGTH STOCKS - 66 Stocks (0 Added, 3 Removed)

Signal Strength Stocks | 09/03/26 02:09 PM EDT

What: The signal list fell from **69 to 66**. **Added: None. Removed: JBS, BJRI, GRUSF.**

Takeaway: zero additions with three deletions is a mechanical confirmation of the narrowing thesis - fewer names are passing the signal screen even as the index holds bullish TRADE and TREND.